Economics

March 4, 2026

The Residential Outlook

Housing Forecast Update

Special Commentary

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Housing affordability less adverse, but far from favorable. Relative stability in mortgage rates and home price appreciation, aligned with income growth, will allow affordability to improve. Returning to pre-pandemic affordability levels in the next two years is highly unlikely, however.

Housing affordability now a federal, state and local political concern. Recent federal initiatives aimed at boosting affordability align with new state and local policies with similar goals. The structural nature of the problem (supply/demand imbalance from underbuilding/demographics) and cyclical challenges (high interest rates, building cost inflation, labor/land availability) mean progress will be gradual.

Mortgage rates unlikely to fall much further. We expect quarterly average mortgage rates to hover in a range between 6.1% and 6.2% over the next two years, lower than recent peak rates but elevated enough to pressure affordability.

Home price appreciation picks up modestly. We forecast the median existing single-family price to rise 3.4% in 2026, stronger than 2025's pace but still below the long-run average. New home prices should stabilize after declining over the past several years.

Home sales poised for gradual improvement. Marginally improved affordability conditions and slightly better inventory availability will likely generate a modest lift to existing home sales. Builder incentive programs should continue to support new home sales as demand firms.

Supply remains limited. Easing lock-in effect and higher turnover may boost inventory modestly, though not enough to meet demand. New home inventories will gradually shrink as sales firm and production downshifts.

Single-family construction eases. Home builders will likely remain cautious on new production and continue to realign inventory with sales. Land and labor remain supply constraints.

Multifamily development transitions to growth. Apartment market conditions should firm as the supply wave dissipates and strained homeownership affordability supports rental demand. Lower financing costs and improved capital access will promote a stronger pace of new construction.

Home improvement market steadies. We expect lower interest rates, improved turnover, positive home price appreciation and elevated homeowner equity levels to support growth, with labor and building material inflation remaining limitations.

National Housing Outlook

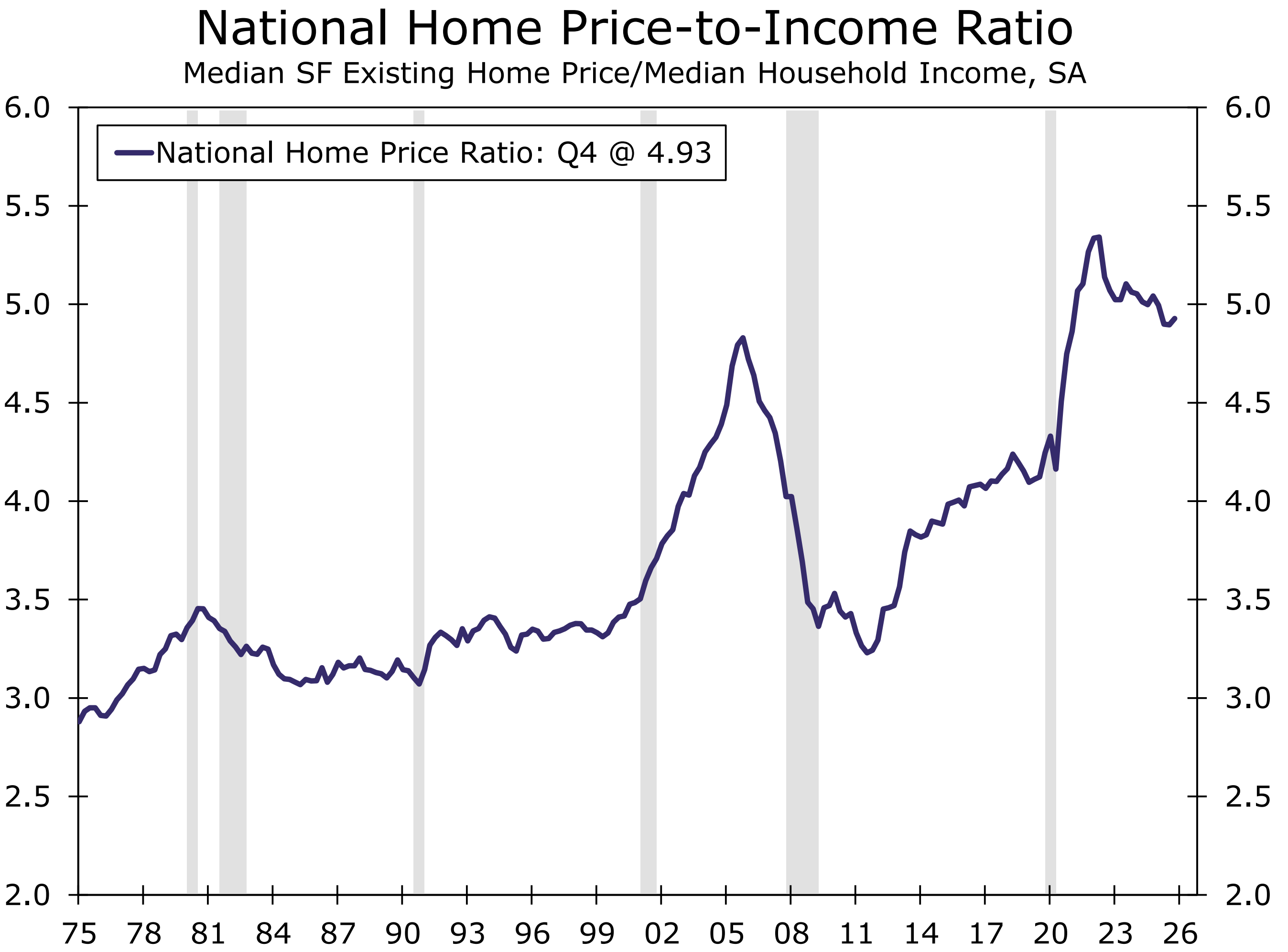
												Forecast	
	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Real GDP, Percent Change	2.9	1.8	2.5	3.0	2.6	-2.1	6.2	2.5	2.9	2.8	2.2	2.7	2.3
Residential Investment, Percent Change	10.6	7.1	4.3	-0.7	-0.9	7.4	10.6	-8.1	-7.8	3.2	-2.2	-3.5	3.0
Nonfarm Payroll Change (Avg. Monthly)	226.1	194.3	176.3	190.5	165.4	-770.5	606	377	210	122	15	69	72
Unemployment Rate	5.3	4.9	4.4	3.9	3.7	8.1	5.4	3.7	3.6	4.0	4.3	4.4	4.2
Home Construction													
Total Housing Starts, in Thousands	1,111.9	1,173.7	1,202.9	1,250.0	1,289.9	1,379.6	1,601	1,553	1,420	1,367	1,359	1,330	1,380
Single-Family Starts, in Thousands	714.6	781.5	848.9	875.7	887.7	990.5	1,127	1,005	948	1,013	943	910	945
Multifamily Starts, in Thousands	397.3	392.2	354.0	374.3	402.2	389.1	474	548	472	354	416	420	435
Home Sales													
New & Existing Home Sales, in Thousands	5,751	6,011	6,123	5,957	6,022	6,461	6,891	5,667	4,753	4,748	4,741	4,921	5,134
New Home Sales, Single-Family, in Thousands	501	561	613	617	682	821	771	641	666	686	679	699	722
Total Existing Home Sales, in Thousands	5,250	5,450	5,510	5,340	5,340	5,640	6,120	5,026	4,087	4,062	4,062	4,223	4,411
Existing Single-Family Home Sales, in Thousands	4,646	4,838	4,892	4,742	4,765	5,066	5,413	4,480	3,659	3,671	3,689	3,837	4,009
Existing Condominium & Co-op Sales, in Thousands	608	614	619	601	579	578	707	546	428	391	373	386	402
Home Prices													
Median New Home, $ Thousands	294.2	307.8	323.1	326.4	321.5	330.9	383.5	434.5	428.6	420.3	412.8	414.8	425.2
Percent Change	2.0	4.6	5.0	1.0	-1.5	2.9	15.8	16.8	-1.4	-1.9	-1.8	0.5	2.5
Median Existing Single-Family Home, $ Thousands	223.9	235.5	248.8	261.6	274.6	300.2	357.1	392.8	394.1	412.5	419.3	433.6	449.6
Percent Change	7.2	5.2	5.6	5.1	5.0	9.3	19.0	10.0	0.3	4.7	1.6	3.4	3.7
S&P Case-Shiller National Home Price Index, Percent Change	4.5	5.1	5.8	5.8	3.4	6.0	17.1	14.8	2.5	5.1	2.3	3.6	4.2
Interest Rates - Annual Averages													
Federal Funds Target Rate	0.27	0.52	1.13	1.96	2.25	0.50	0.25	2.02	5.23	5.27	4.33	3.44	3.25
10-Year Treasury Note	2.14	1.84	2.33	2.91	2.14	0.89	1.45	2.95	3.96	4.21	4.29	4.18	4.29
Conventional 30-Year Fixed Rate, Commitment Rate	3.98	3.76	4.09	4.64	4.08	3.18	3.03	5.38	6.80	6.72	6.60	6.14	6.19

Forecast as of: March 3, 2026

Source: U.S. Departments of Commerce and Labor, FRB, FHFA, FHLMC, National Association of Realtors, S&P and Wells Fargo Economics

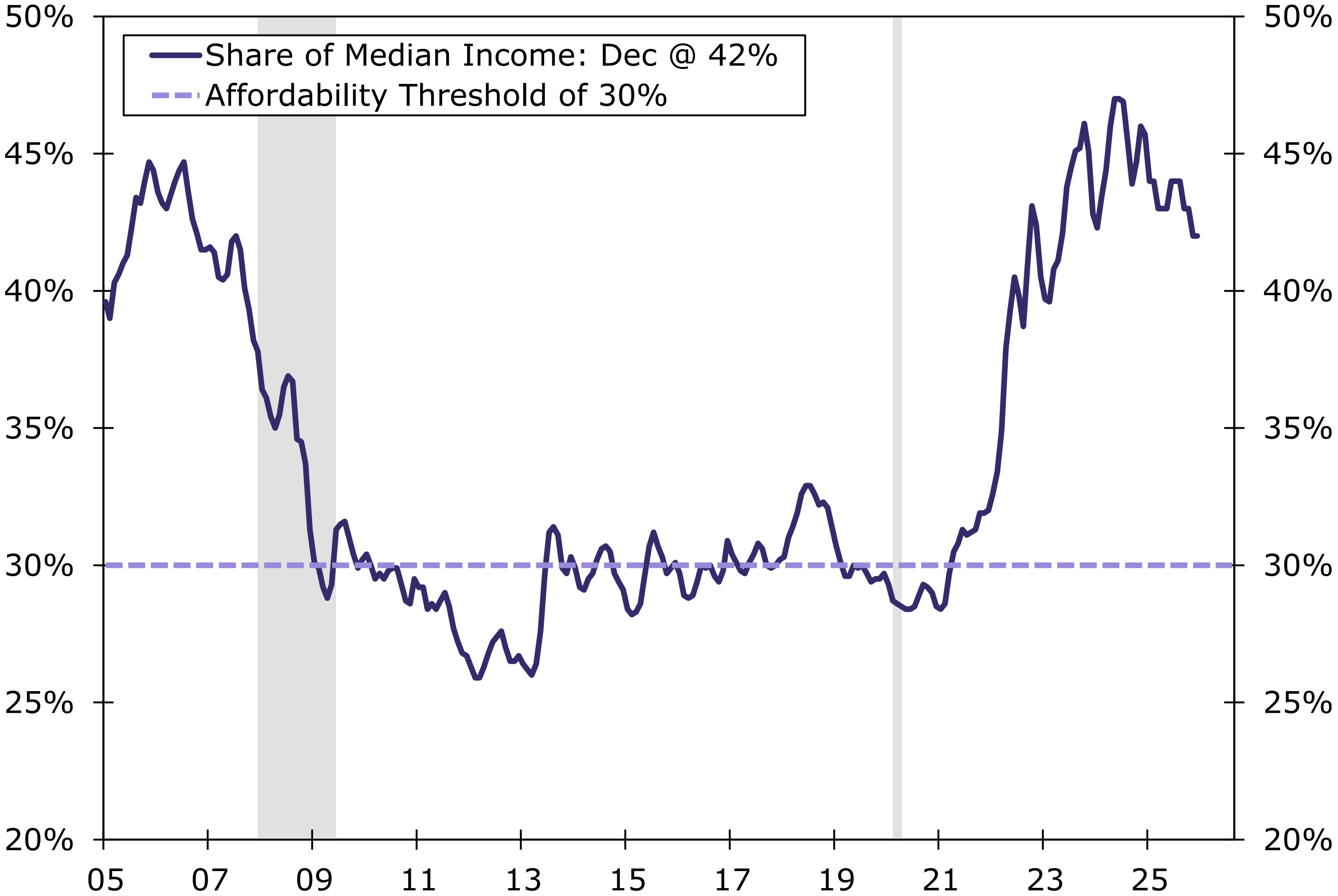
Housing Affordability Measures

- Housing affordability remains stretched. The national home price-to-income ratio registered at approximately 5.0 in Q4 2025, well above pre-pandemic average of about 4.0 and higher than long-run historical averages.
- Similarly, the annual mortgage payment share of median income stands at 42%, well north of the 30% share typically deemed as within budget for the median home buyer.
- Zooming in, affordability has improved around the margins on account of lower mortgage rates, more moderate home price appreciation and sturdy income growth. That said, affordability conditions are far from favorable.



Source: NAR and Wells Fargo Economics

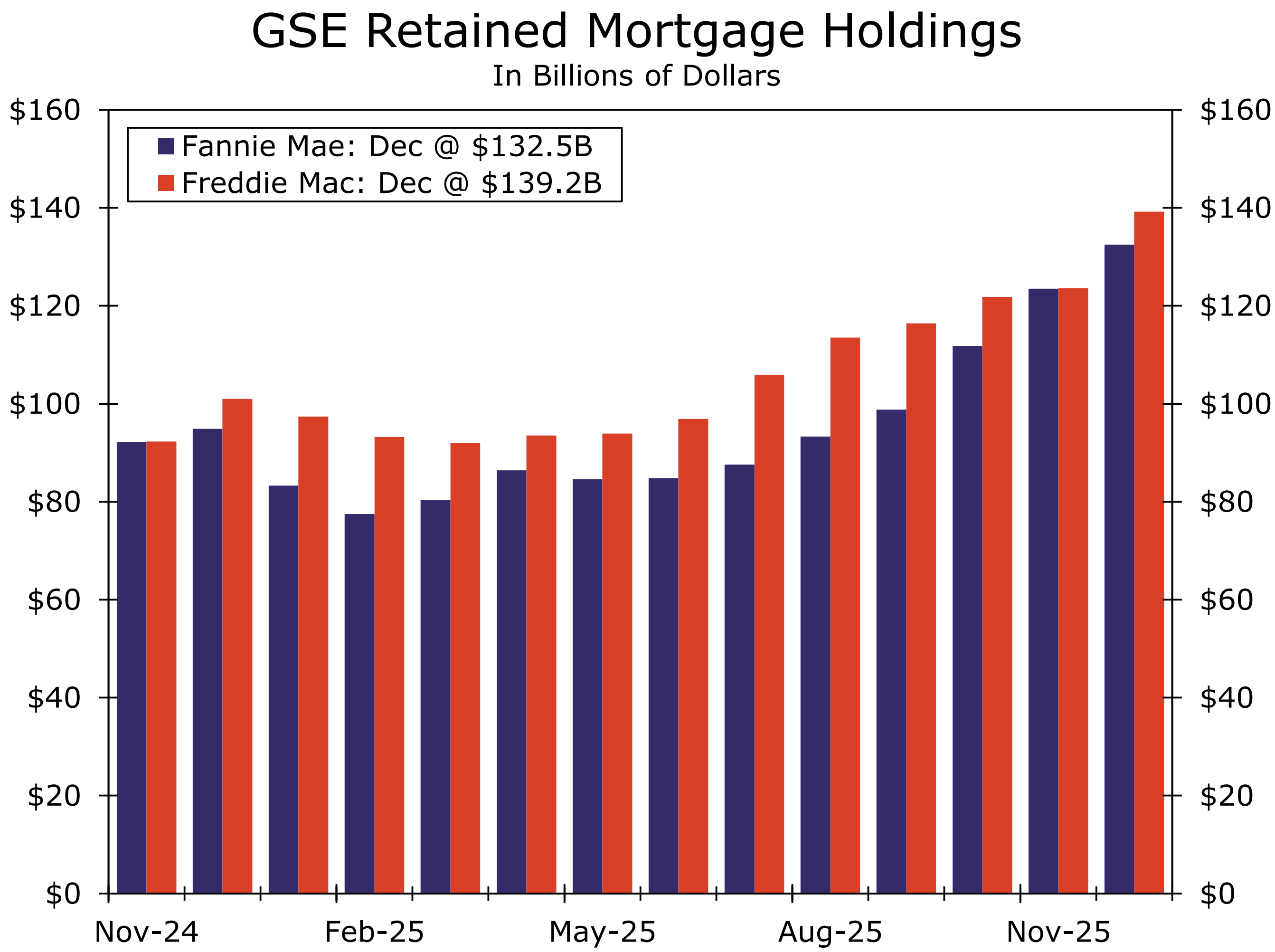
Annual Mortgage Payment Share of Income



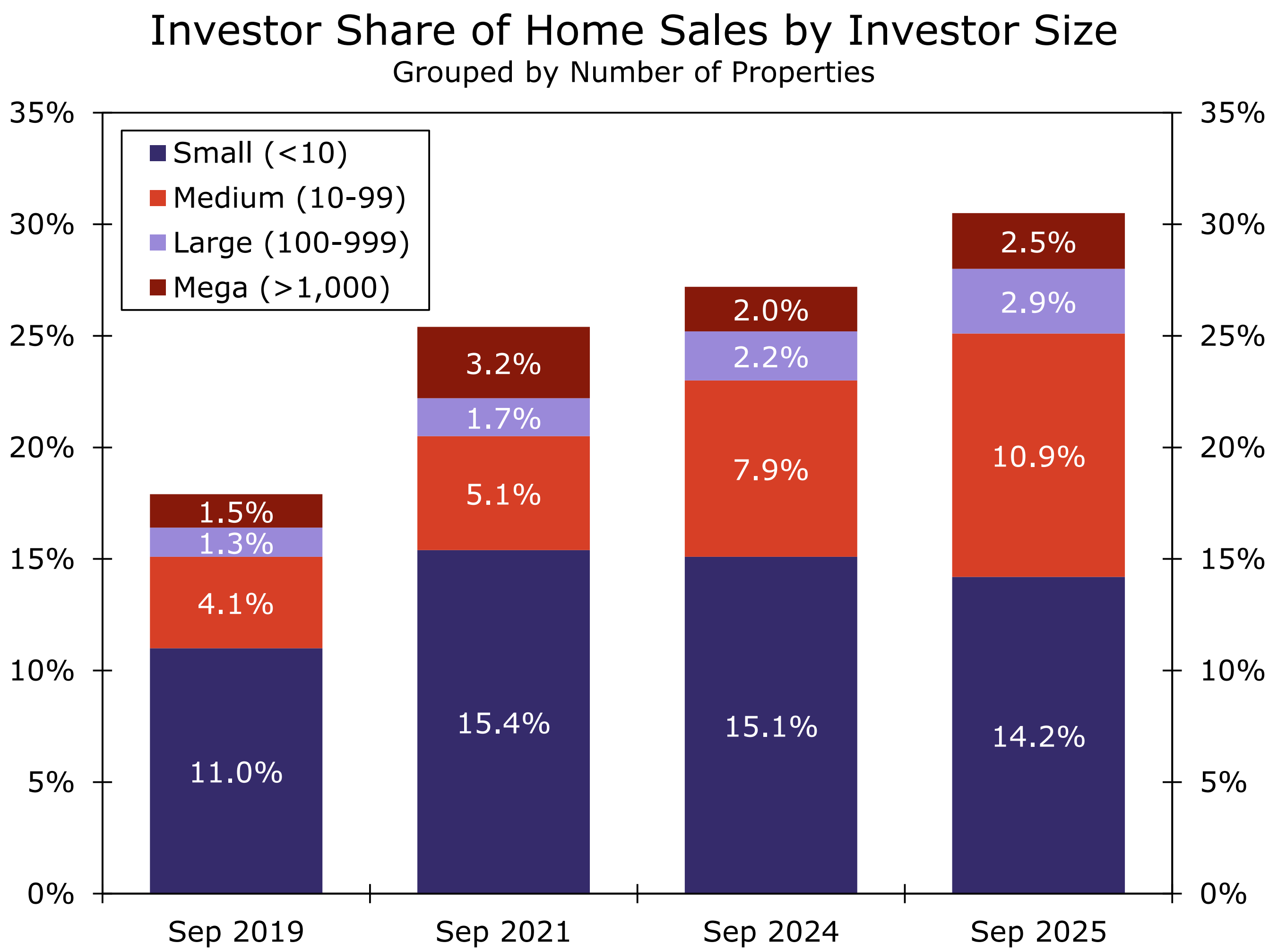
Source: Federal Reserve Bank of Atlanta and Wells Fargo Economics

Housing Policy

- The Trump administration has directed the GSEs to purchase $200 billion in mortgage bonds in order to tighten mortgage spreads and reduce mortgage rates. Even before January's announcement, Fannie Mae and Freddie Mac had already increased their retained mortgage portfolios throughout 2025.
- More details on the Trump administration's proposed action on institutional home purchases have come to light. Official guidance is still forthcoming, but in a memo sent to Congress, the administration defined "institutional" as firms that own 100 or more properties. This segment accounted for 5.4% of total home sales in late 2025, a small but not insignificant share.



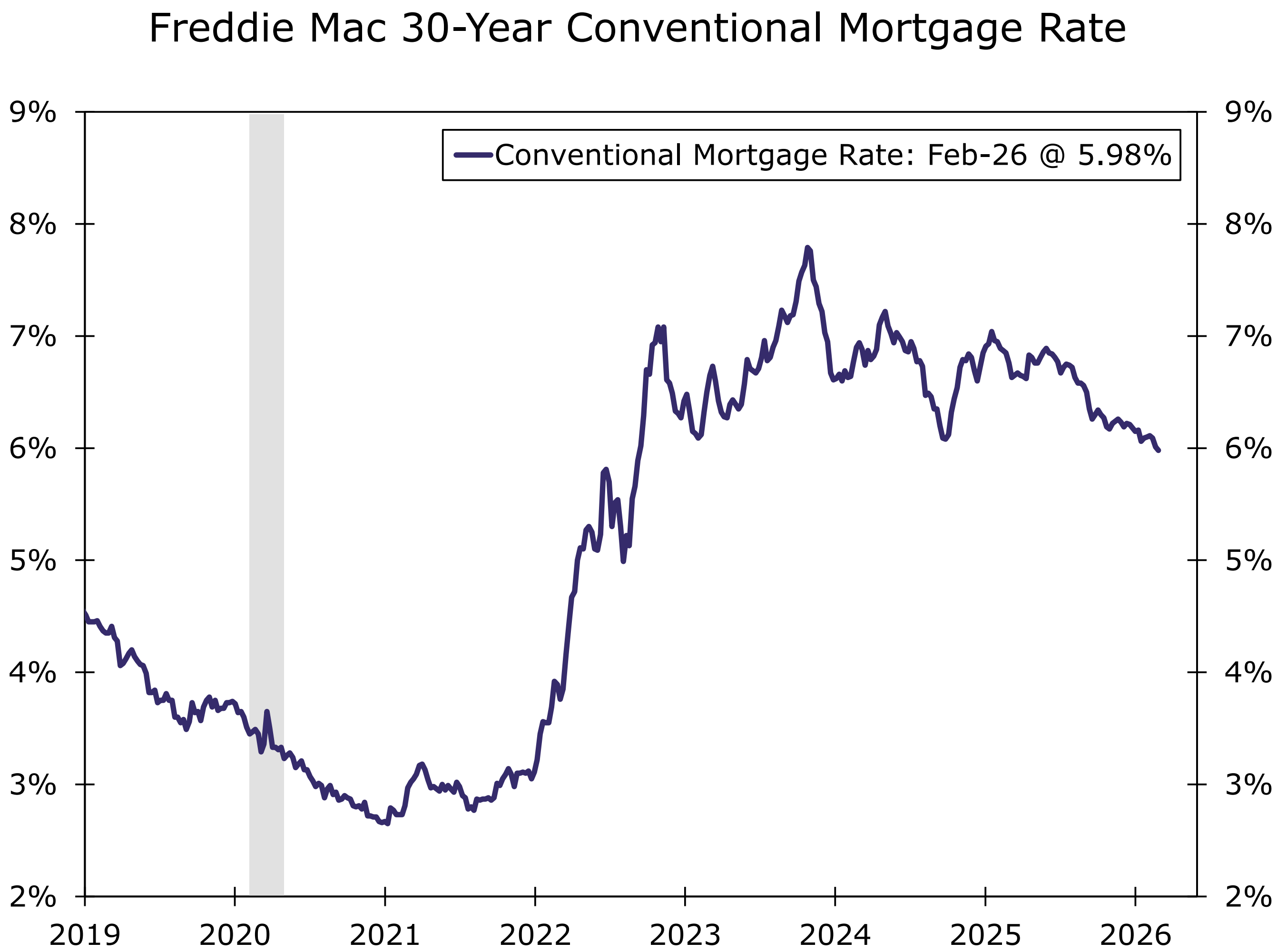
Source: Fannie Mae, Freddie Mac and Wells Fargo Economics



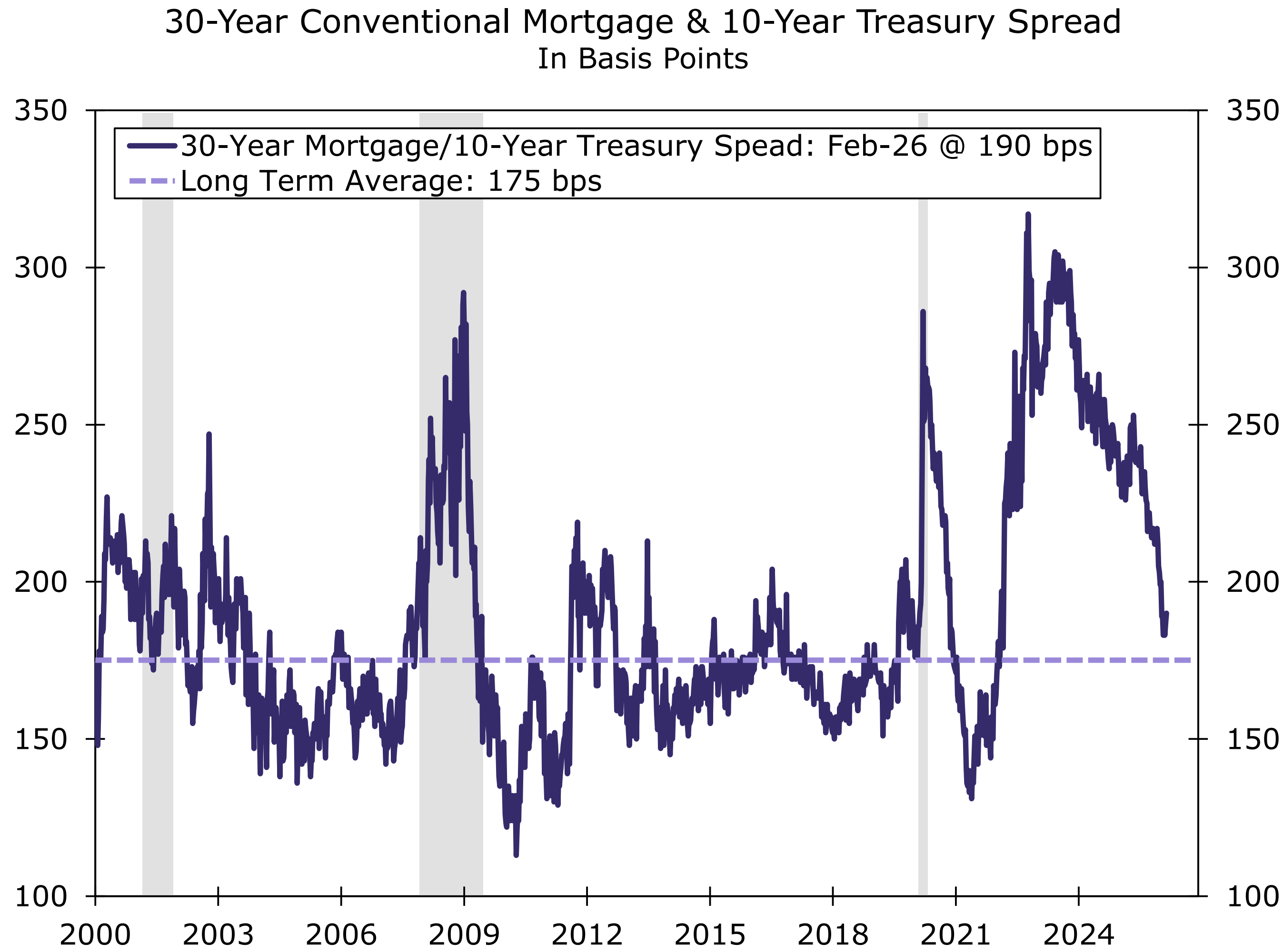
Source: Cotality and Wells Fargo Economics

Mortgage Rates

- Mortgage rates have declined by roughly 100 bps over the past year. According to Freddie Mac, the average 30-year fixed rate averaged 5.98% during the fourth week of February, down from 7.04% in January 2025.
- A narrowing mortgage spread has helped mortgage rates ease. The spread between the 30-year mortgage rate and 10-year treasury yield receded to roughly 190 bps as of Feb. 26, close to long-term historical averages and down from a peak of nearly 320 bps in October 2022.
- Mortgage rates likely do not have much additional room to fall, with still-elevated inflation and fiscal pressures exerting upward force. We forecast the 30-year fixed rate quarterly average will hover between 6.1% and 6.2% over the next two years.



Source: Freddie Mac and Wells Fargo Economics



Source: Freddie Mac and Wells Fargo Economics

Existing Home Sales

- The pace of resales remains tepid. Sales have averaged a 4.0 million-unit pace in the three months ending January, about 37% below the peak 6.5 million-unit pace hit in late 2022 and 23% below 2019's 5.3 million-unit average.
- Although still slow, the recent dip in mortgage rates does appear to be supporting a modest improvement in home sales. Resales experienced a weather-related drop in January but increased in three of the last four months of 2025.

Source: NAR and Wells Fargo Economics

Source: NAR and Wells Fargo Economics

Leading Indicators

- The recent uptrend in home sales was presaged by a steady increase in mortgage applications for purchase over the past year. That said, applications took a downward turn in February and are still running roughly 35% below pre-pandemic levels.
- Pending home sales edged lower in January after falling sharply in December. These back-to-back slips were likely the result of challenging winter weather conditions across much of the nation. Nevertheless, the index currently sits at its lowest level on record going back to 2001, which serves as a reminder that poor affordability conditions remain a constraint on home sales.

Source: MBA and Wells Fargo Economics

Source: NAR and Wells Fargo Economics

Existing Home Prices

- Home price growth remains soft on balance. The S&P Cotality Case-Shiller National Home Price Index was up only 1.3% year-over-year in December, a significantly more moderate pace than in recent years. That said, price appreciation looks to have picked up a bit of steam, with the headline index rising in each of the last five months of 2025.
- Pricing trends vary by region. According to the National Association of Realtors, median resale prices in the South and West are either declining or flat on an annual basis, coinciding with pronounced inventory growth in states like Florida and Texas. Meanwhile, price appreciation remains firmly positive in the more supply-constrained Midwest and Northeast.

Source: S&P Cotality and Wells Fargo Economics

Source: NAR and Wells Fargo Economics

Market Level Pricing Trends

- The disparity between regional price trends is apparent at the market level. Price appreciation is running at an above-average pace in Chicago, New York City and Cleveland, evidence that still-tight supply is exerting upward pressure. By contrast, Tampa, Denver, and Phoenix have registered declines over the past year.
- Zooming out, as of December 2025, 108 markets had experienced home price declines on a year-over-year basis, more than 25% of the metro areas and divisions tracked by Cotality. Annual price declines have not been this widespread since July 2012.

Source: S&P Cotality and Wells Fargo Economics

Source: Cotality and Wells Fargo Economics

Existing Home Inventory

- Resale inventory remains low in historical context. The 1.11M single-family homes for sale in January 2026 was 10.5% below the pre-pandemic level of 1.24 million in January 2020.
- Although listings are still climbing, the pace of expansion is slowing. Single-family resale inventory was up 7.8% year-to-year in January 2026, slower than the annual rate of 15.7% posted in the same month the prior year.
- The "lock-in" effect persists. The rate on outstanding mortgage debt remains about two percentage points below prevailing market rates, a disincentive for many homeowners to trade into a new mortgage. That said, the gap is gradually narrowing and supporting modest growth in new inventory.

Source: NAR and Wells Fargo Economics

Source: U.S. Department of Commerce, Freddie Mac and Wells Fargo Economics

New Home Sales

- Demand for new construction also appears to have benefited from the recent lull in mortgage rates. While down slightly in 2025 as a whole, the pace of new home sales accelerated in the last two months of the year. In December 2025, sales reached a 745K unit pace, equating to a 3.8% year-to-year gain.
- Builder incentives remain a key support factor. Nearly two-thirds of builders used incentives like price cuts or mortgage rate buy-downs in February, the seventh straight month that this ratio has met or exceeded 65%. Price cuts alone fell back somewhat in February but remained elevated at 36%.

Source: U.S. Department of Commerce and Wells Fargo Economics

Source: NAHB and Wells Fargo Economics

New Home Supply

- The recent acceleration in sales has led to a small 3.5% reduction in new home inventory over the past year. Still, there were 472K new homes for sale in December, near the highest since February 2008.
- In terms of months supply, new home inventory could sustain 7.6 months’ supply of sales in December, well above the 5.5-months' supply averaged between 2015 and 2019.
- New home inventory has eased somewhat in the key builder regions of the South and West, though supply is still elevated relative to pre-pandemic levels. Meanwhile, the Midwest and Northeast regions generally have seen inventory build over the past year.

Source: U.S. Department of Commerce and Wells Fargo Economics

Source: U.S. Department of Commerce and Wells Fargo Economics

New Home Prices

- Soft demand, increased supply and higher prevalence of builder incentives are factors weighing on new home prices. The median new home price fell 2.0% year-over-year in December, continuing a trend decline that began in 2023.
- The median new home price is now roughly equivalent to the median existing price, a break from historical norms. The median sale price for a new single-family build was $414.4K in December vs. $409.5K for the median resale home.

Source: U.S. Department of Commerce and Wells Fargo

Source: U.S. Department of Commerce, NAR and Wells Fargo Economics

New Home Construction

- Single-family builders have scaled down production plans amid elevated inventory and lackluster demand. Although single-family permits stabilized in the second half of 2025, the number of permits filed in 2025 declined 7.6% from 2024.
- Home builder sentiment remains generally low despite the recent easing in mortgage rates. The NAHB Housing Market Index declined for two consecutive months in January and February, ending a three-month streak of gains at the end of 2025. Deteriorating buyer traffic and moderating sales expectations were key drivers of the reversal, suggesting that builders are pessimistic about the prospect of affordability conditions improving.

Source: U.S. Department of Commerce and Wells Fargo Economics

Source: NAHB and Wells Fargo Economics

Multifamily Construction

- The count of multifamily units under construction continues to normalize, an indication that the wave of development over the past several years is moving further from its peak.
- Disagreement between two major construction data sources clouds the current state of new multifamily development. Multifamily construction starts declined by each measure in Q4 2025. However, Census data continue to paint a more constructive picture while Costar is tracking a continued slide.
- Either way, we look for multifamily development to improve over the course of 2026 alongside easing monetary policy, thinning supply pipeline, and sturdy rental demand on account of affordability challenges.

Source: U.S. Department of Commerce, CoStar Inc. and Wells Fargo Economics

Source: U.S. Department of Commerce and Wells Fargo Economics

Home Improvement Market

- The trend decline in NAHB's Remodeling Market Index indicates that home improvement activity has moved to a lower gear. A recent uptick in the headline index, however, suggests the headwinds of higher interest rates, construction labor scarcity, and sharp run-up in building material prices may be starting to fade.
- An upturn in building material retail sales in the final quarter of 2025 is a greenshoot. A slight pick-up in home sales, strong homeowner equity levels, and lower interest rates should help support residential remodeling ahead.

Source: NAHB and Wells Fargo Economics

Source: U.S. Department of Commerce and Wells Fargo Economics

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All estimates/forecasts are as of 3/4/2026 unless otherwise stated. 3/4/2026 6:00:31 EST.

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